AI EQUITY RESEARCH

April 20, 2026

Apple Inc.

AAPL • Technology • Consumer Electronics

RATING
SELL
MEDIUM conviction

Next Earnings: 2026-05-01 EPS est. 1.94 Rev est. $109.4B

CURRENT PRICE	FAIR VALUE	UPSIDE / DOWNSIDE	MARKET CAP
$274.12	$153.16 Discounted Cash Flow (Free Cash Flow to Firm) — 2-stage model	-44.1%	$4,024.4B

Summary — Apple's stock appears overvalued based on the DCF FCFF model, with a fair value of $153.16, suggesting a potential downside of 44.13% from the current price of $274.12.

WACC / COST OF EQUITY	6.85%	EV / EBITDA	26.1x
ENTERPRISE VALUE	$2,303.3B	P / E	34.7x
VALUATION MODEL	DCF_FCFF	P / S	n/a

Investment Thesis

Bull Case

Apple's stock could be driven significantly higher by continued revenue growth, as indicated by projected revenues of $404.5B, $412.7B, $439.2B, $461.7B, and $479.3B over the next five years, and potential expansion of operating margins beyond the assumed 0.3197.

- Revenue growth
- Operating margin expansion
- Innovation in products and services

Base Case

The base case scenario suggests that Apple's stock is overvalued, with a fair value of $153.16, implying a downside of 44.13% from the current price of $274.12, based on the DCF FCFF model and key assumptions including a beta of 1.109, operating margin of 0.3197, and tax rate of 0.21.

$153.16

Bear Case

The bear case scenario suggests that Apple's stock could experience significant downside due to risks such as decreased revenue growth, compression of operating margins, and increased competition in the consumer electronics market, potentially driving the stock down by more than the implied 44.13% downside.

- Decreased revenue growth
- Compression of operating margins
- Increased competition

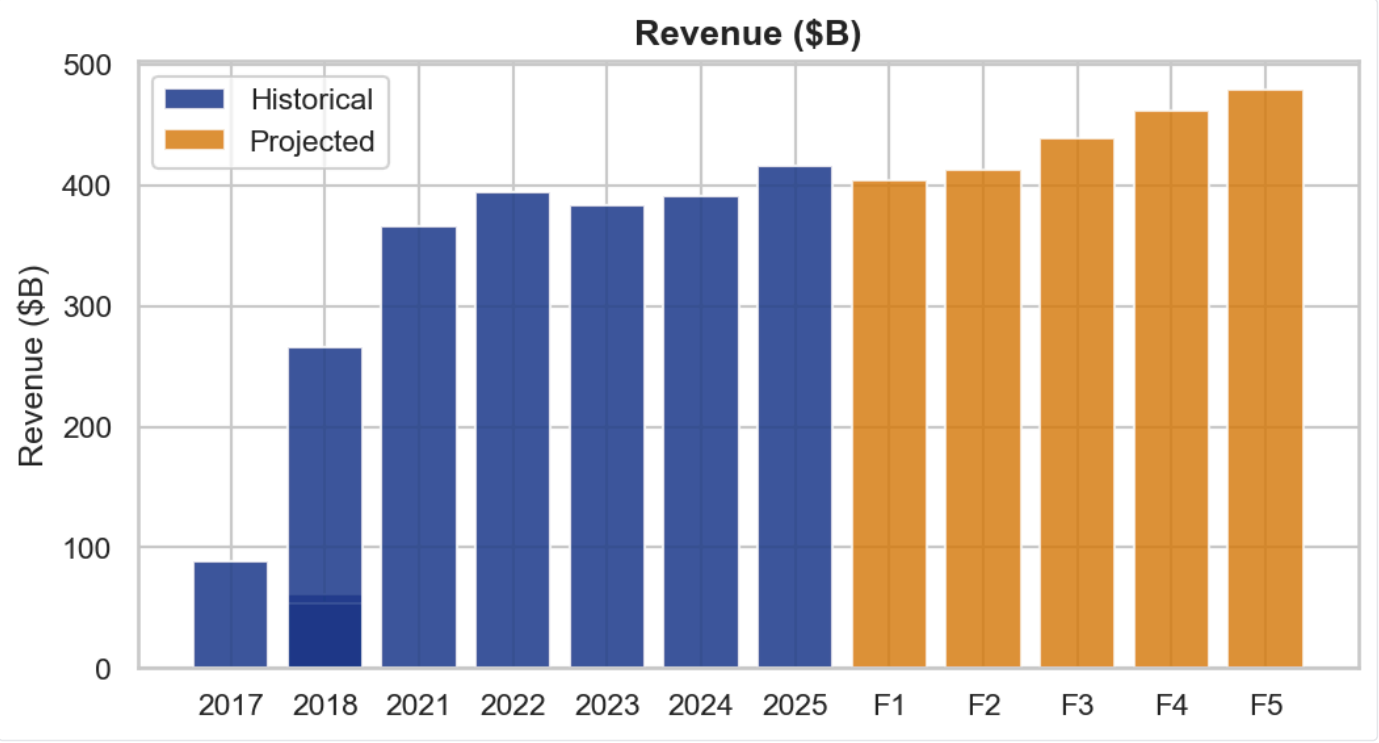
Key Catalysts

- Earnings reports
- Product launches
- Competition from peers such as Microsoft, Alphabet, and NVIDIA

Financial Analysis

Historical Financials (SEC EDGAR — last 10 periods)

Period End	Revenue	Gross Profit	Operating Income	Net Income	CFO	CapEx	Equity	EPS
2025-09-27	$416.2B	$195.2B	$133.1B	$112.0B	n/a	$12.7B	$73.7B	$7.49
2024-09-28	$391.0B	$180.7B	$123.2B	$93.7B	n/a	$9.4B	$57.0B	$6.11
2023-09-30	$383.3B	$169.1B	$114.3B	$97.0B	n/a	$11.0B	$62.1B	$6.16
2022-09-24	$394.3B	$170.8B	$119.4B	$99.8B	n/a	$10.7B	$50.7B	$6.15
2021-09-25	$365.8B	$152.8B	$108.9B	$94.7B	n/a	$11.1B	n/a	$5.67
2020-09-26	n/a	n/a	n/a	n/a	n/a	n/a	n/a	—
2018-09-29	$265.6B	n/a	n/a	n/a	n/a	n/a	n/a	—
2018-06-30	$53.3B	n/a	n/a	n/a	n/a	n/a	n/a	—
2018-03-31	$61.1B	n/a	n/a	n/a	n/a	n/a	n/a	—
2017-12-30	$88.3B	n/a	n/a	n/a	n/a	n/a	n/a	—



Source: Historical bars from SEC EDGAR XBRL filings (10-K/10-Q annual revenue). **F1–F5** = projected Forecast Years 1 through 5, computed by the DCF engine (no LLM): starting from the latest reported revenue, growth for years 1–3 is set to the trailing 3-year YoY growth rate, then fades linearly toward the terminal growth assumption (2.5%) by year 5. Year-by-year growth rates used: -2.8%, 2.0%, 6.4%.

Quarterly Trend (last 12 quarters)

Period End	Revenue	Operating Income	Net Income	CFO
2025-12-27	$143.8B	$50.9B	$42.1B	—
2025-09-27	$416.2B	$133.1B	$112.0B	—
2025-06-28	$313.7B	$100.6B	$84.5B	—
2025-03-29	$219.7B	$72.4B	$61.1B	—
2024-12-28	$124.3B	$42.8B	$36.3B	—
2024-09-28	$391.0B	$123.2B	$93.7B	—
2024-06-29	$296.1B	$93.6B	$79.0B	—
2018-09-29	$265.6B	—	—	—

Key Ratios (most recent year)

Category	Metric	Value
Profitability	Gross Margin	46.91%
Profitability	Operating Margin	31.97%
Profitability	Net Margin	26.92%
Profitability	Cost Ratio	53.09%
Returns	Roe	1.52x
Returns	Roa	31.18%
Returns	Roic	87.4%
Leverage	Debt To Equity	1.23x
Leverage	Debt To Assets	25.24%
Leverage	Debt To Ebitda	—
Leverage	Equity Multiplier	4.87x
Leverage	Interest Coverage	33.83x
Efficiency	Asset Turnover	1.16x
Efficiency	Receivables Turnover	—
Efficiency	Days Sales Outstanding	—
Efficiency	Inventory Turnover	38.64x
Valuation	Market Cap	$4,029.0B
Valuation	Enterprise Value	$4,083.7B
Valuation	Pe Ratio	36.6x
Valuation	Ev To Revenue	9.81x
Valuation	Ev To Ebitda	—
Valuation	Price To Book	54.64x
Valuation	Price To Sales	9.68x
Valuation	Earnings Yield	2.73%
Valuation	Fcf Yield	—

Valuation — Discounted Cash Flow (Free Cash Flow to Firm) — 2-stage model

FAIR VALUE

$153.16

-44.1% vs current

DCF — FCFF 2-Stage

ENTERPRISE VALUE	$2,303.3B	WACC	6.85%
EQUITY VALUE	$2,248.5B	TERMINAL VALUE (UNDISC.)	$2,625.6B

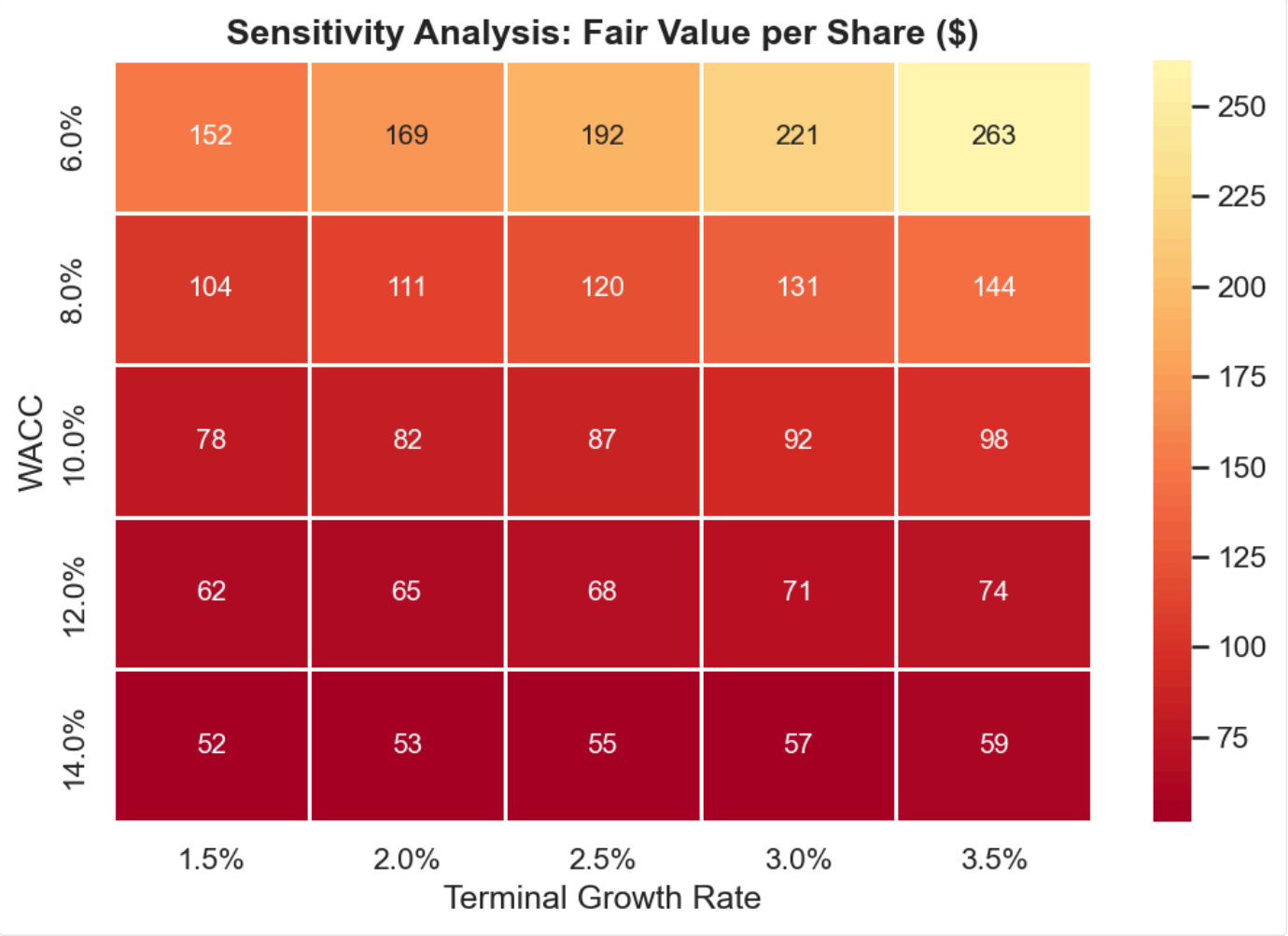
REVENUE PROJECTION ($B)

Year 1	Year 2	Year 3	Year 4	Year 5
404.5	412.7	439.2	461.7	479.3

PROJECTED FCFF ($B)

Year 1	Year 2	Year 3	Year 4	Year 5
94.08	95.98	102.15	107.37	111.46

SENSITIVITY — WACC × TERMINAL GROWTH

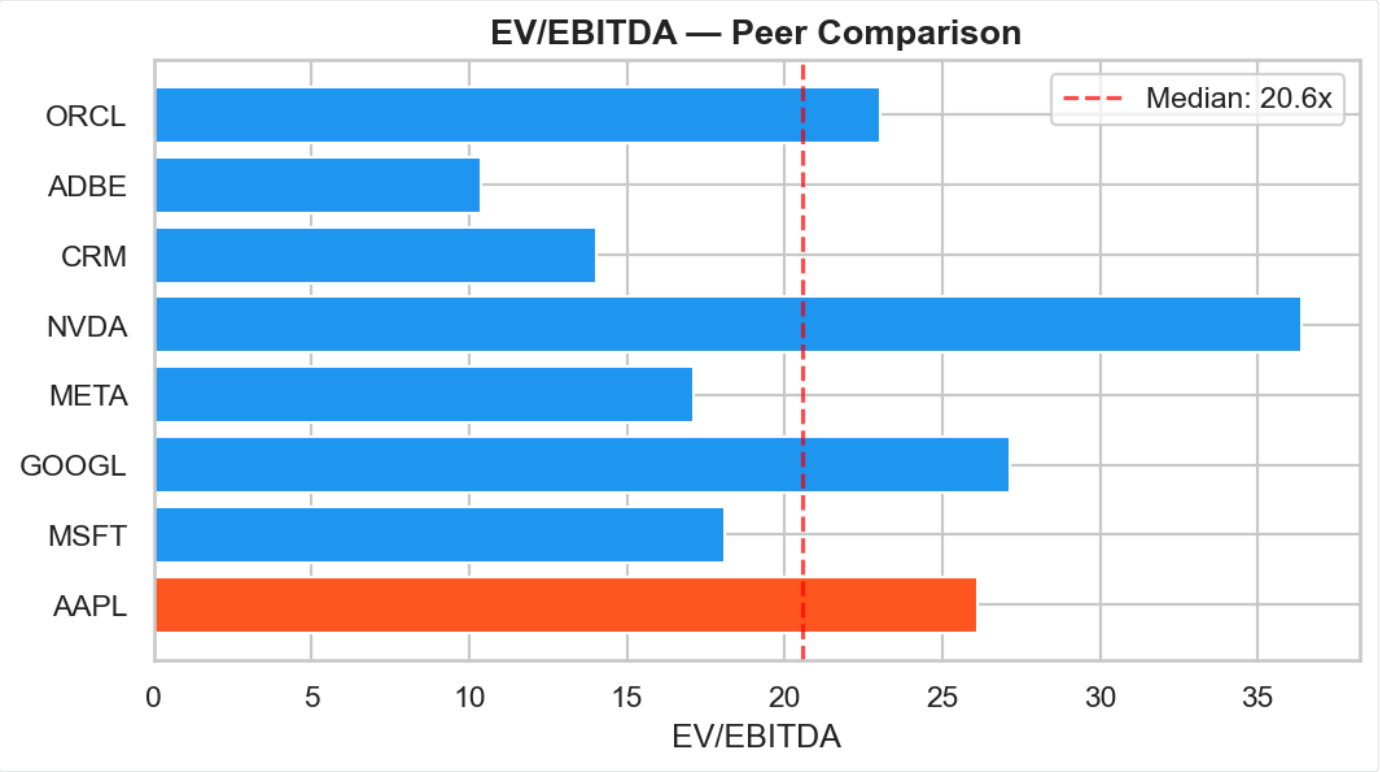


> **How to read:** each cell is the model's fair value per share under a different combination of WACC (row, discount rate) and terminal growth (column, long-run growth beyond the forecast window). Green = above current price (upside); red = below (downside). Baseline is the cell at the center row/column. Computed Python-side by re-running the DCF over a 5×5 grid — no LLM.

COMPARABLE IMPLIED VALUES

Method	Implied Fair Value
Ev Revenue Implied	$275.77
Pe Implied	$220.34
Pb Implied	$44.50

Peer Comparison & Industry Context



Source: EV/EBITDA ratio for each peer, pulled live from yfinance. The target ticker is highlighted in orange; the dashed red line is the median across the peer set. Peers are selected by GICS sector/sub-industry match (computed Python-side). A bar above the median suggests relative premium valuation; below the median suggests a relative discount on this multiple.

Peer Set

Ticker	EV/EBITDA	P/E	P/S
MSFT	18.1x	26.3x	—
GOOGL	27.1x	31.5x	—
META	17.1x	28.9x	—
NVDA	36.4x	40.7x	—
CRM	14.0x	23.9x	—
ADBE	10.4x	14.5x	—
ORCL	23.0x	31.5x	—

Competitive Positioning

AAPL is positioned relatively high in terms of valuation multiples compared to its peers, with its EV to Revenue, EV to EBITDA, PE Ratio, Forward PE, and Price to Book all being above the median values of its peer group.

STRENGTHS

- High market capitalization
- High price to book ratio

WEAKNESSES

- Not the highest profit margin among peers
- Not the highest revenue growth among peers

Shareholder Meeting & Material Events

Sourced from SEC EDGAR filings (DEF 14A proxy statements and Form 8-K).

Shareholder Meeting (DEF 14A)

Filed Jan 08, 2026 — Accession 0001308179-26-000008

MEETING DATE	**2026-02-24**
EXECUTIVE COMP.	**Approved by shareholders**
GOVERNANCE	**Ernst & Young LLP ratified as auditor**

VOTING PROPOSALS

- Election of Directors
- Ratification of Independent Registered Public Accounting Firm
- Advisory Vote to Approve Executive Compensation
- Approval of Apple Inc. Non-Employee Director Stock Plan
- Shareholder Proposal

DIRECTOR NOMINEES

Wanda Austin, Tim Cook, Alex Gorsky, Andrea Jung, Art Levinson, Monica Lozano, Ron Sugar, Sue Wagner

Recent Material Events (Form 8-K)

Date	Disclosure
2026-02-24	Annual Meeting results
2026-01-29	Unknown
2026-01-02	Unknown
2025-12-05	Unknown
2025-10-30	Unknown

Investor Takeaways

- Apple held its 2026 Annual Meeting
- Shareholders approved executive compensation
- New directors were elected
- Auditor was ratified

Ownership & Insider Activity

Insider transactions and institutional holdings from yfinance.

Holder Breakdown

0.0164	**insidersPercentHeld**
0.65295	**institutionsPercentHeld**
0.66384006	**institutionsFloatPercentHeld**
7510.0	**institutionsCount**

Recent Insider Transactions

Insider	Position	Transaction	Shares	Date
PAREKH KEVAN	Chief Financial Officer		10928	2026-04-15
BORDERS BEN	Officer		1717	2026-04-15
O'BRIEN DEIRDRE	Officer		30002	2026-04-02
COOK TIMOTHY D	Chief Executive Officer		64949	2026-04-02
O'BRIEN DEIRDRE	Officer		64317	2026-04-01
KHAN SABIH	Chief Operating Officer		64317	2026-04-01
COOK TIMOTHY D	Chief Executive Officer		131576	2026-04-01
NEWSTEAD JENNIFER	General Counsel		60208	2026-03-13
LEVINSON ARTHUR D	Director		1113	2026-02-26
AUSTIN WANDA M	Director		1255	2026-01-30

Top Institutional Holders

Holder	Shares	% Out	Value	Reported
Vanguard Group Inc	1426283914	9.72%	$391.0B	2025-12-31
Blackrock Inc.	1154665731	7.86%	$316.5B	2025-12-31
State Street Corporation	604056505	4.11%	$165.6B	2025-12-31
Geode Capital Management, LLC	358032517	2.44%	$98.1B	2025-12-31
FMR, LLC	307397264	2.09%	$84.3B	2025-12-31
Morgan Stanley	230483035	1.57%	$63.2B	2025-12-31
Berkshire Hathaway, Inc	227917808	1.55%	$62.5B	2025-12-31
JPMORGAN CHASE & CO	225419111	1.54%	$61.8B	2025-12-31
Price (T.Rowe) Associates Inc	203499482	1.39%	$55.8B	2025-12-31
NORGES BANK	192255086	1.31%	$52.7B	2025-12-31

Risks

Overall Risk Rating: MEDIUM

Apple Inc. faces a mix of financial, operational, market, and macro risks, primarily related to its high WACC, operating margin sensitivity, market volatility, and interest rate changes. While these risks are notable, they can be mitigated through strategic planning, operational adjustments, and ongoing monitoring of market conditions.

Financial Risks

Risk	Severity	Likelihood
High WACC (0.0685) may indicate high cost of capital, potentially affecting profitability and investment decisions	**MEDIUM**	MEDIUM
Large enterprise value ($2,303,278,030,919.13) may pose liquidity risks in case of sudden market downturns	**LOW**	LOW

Operational Risks

Risk	Severity	Likelihood
Operating margin (0.3197) may be sensitive to changes in market conditions, competition, or internal execution	**MEDIUM**	MEDIUM

Market Risks

Risk	Severity	Likelihood
Beta of 1.109 indicates higher market volatility, potentially affecting stock price and investor confidence	**MEDIUM**	MEDIUM

Macro Risks

Risk	Severity	Likelihood
Interest rate changes may impact WACC and overall cost of capital	**MEDIUM**	MEDIUM

Appendix — Assumptions, Sources, QC

Valuation Assumptions

Parameter	Value
revenue base	$416.2B
revenue growth rates	[-0.028, 0.0202, 0.0643]
operating margin	31.97%
tax rate	21.0%
capex to revenue	5.0%
depreciation to revenue	4.0%
nwc change to revenue	1.0%
risk free rate	4.32%
beta	1.109
market risk premium	5.5%
cost of debt	5.0%
debt ratio	55.15%
terminal growth rate	2.5%
terminal method	gordon
exit ev ebitda multiple	15.0
shares outstanding	$14.7B
net debt	$54.7B
projection years	5

SEC Filings Referenced

Form	Filed	Accession
10-K	2025-10-31	0000320193-25-000079
10-K	2024-11-01	0000320193-24-000123
10-K	2023-11-03	0000320193-23-000106
DEF 14A	2026-01-08	0001308179-26-000008
DEF 14A	2025-01-10	0001308179-25-000008
8-K	2026-02-24	0001140361-26-006577
8-K	2026-01-29	0000320193-26-000005
8-K	2026-01-02	0001140361-26-000199
8-K	2025-12-05	0001140361-25-044561
8-K	2025-10-30	0000320193-25-000077

Automated QC Check

FLAGS FOUND — The valuation results appear to have some issues, primarily related to the implied fair value, growth assumptions, and WACC. Further analysis is required to confirm the accuracy and reasonableness of the valuation results.

Issue	Severity	Detail
Implied fair value of $153.16 is significantly lower than the current market price of $274.12, indicating a potential issue with the valuation model.	**HIGH**	The implied fair value is approximately 56% lower than the current market price, which is unusual given the typical range of valuation models.
Projected revenue growth rates of 3.5% to 5.8% per annum appear relatively low compared to industry peers.	**MEDIUM**	While growth rates can vary by company and industry, these rates are lower than those of some industry peers, which may indicate a potential issue with the growth assumptions.
The WACC of 6.85% is at the lower end of the typical range (6-14%), which may indicate a potential issue with the cost of capital assumptions.	**MEDIUM**	A WACC that is too low can result in overvaluation, so it's essential to review the cost of capital assumptions carefully.
The terminal value is approximately 114% of the total value, which is slightly above the 80% threshold, indicating a potential issue with the terminal value calculation.	**MEDIUM**	While the terminal value is not excessively high, it's essential to review the terminal value calculation carefully to ensure it's reasonable and accurate.
The valuation multiples (EV/Revenue, EV/EBITDA, PE Ratio) appear reasonable for the sector, but further analysis is required to confirm.	**LOW**	The valuation multiples are within the typical range for the sector, but it's essential to review the multiples carefully and consider other factors that may impact the valuation.

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